Orion Cloud Systems, Inc.

ORCS - DCF Valuation & Investment Summary

Company type: Public | Currency: USD (millions) | Industry: Enterprise Software / Cloud (SaaS) | Historical period: FY2021-FY2026

Valuation Summary

ENTERPRISE VALUE	EQUITY VALUE	IMPLIED SHARE PRICE	CURRENT SHARE PRICE
$ 3,278M	**$ 3,892M**	**$ 33.85**	**$ 62.50**

UPSIDE / (DOWNSIDE)	WACC	TERMINAL GROWTH	MODEL INTEGRITY
-45.8%	**10.3%**	**3.0%**	**100/100**

Investment View

At the Base Case DCF valuation of $ 33.85 per share, Orion Cloud Systems, Inc. appears approximately 45.8% overvalued relative to the current market price of $ 62.50.

Key Upside Drivers

• Faster revenue growth from market-share gains

• Greater margin expansion from operating leverage

• Lower capital intensity

• Lower discount rate on improved risk profile

Key Risks

• Revenue deceleration from competitive pressure

• Margin compression from cost inflation

• Higher capital intensity

• Higher discount rate on elevated risk

Valuation Confidence

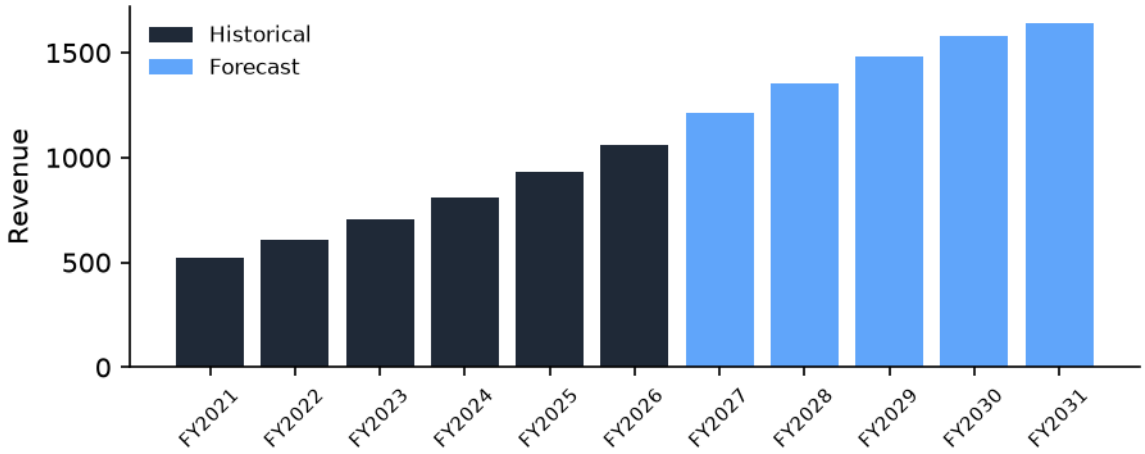
Medium. Model integrity score 100/100; terminal value represents 72.8% of Enterprise Value.

Historical Performance

• Revenue grew at a 15.3% 5-year CAGR (FY2021-FY2026), versus a 14.4% average over the most recent two years, indicating deceleration.

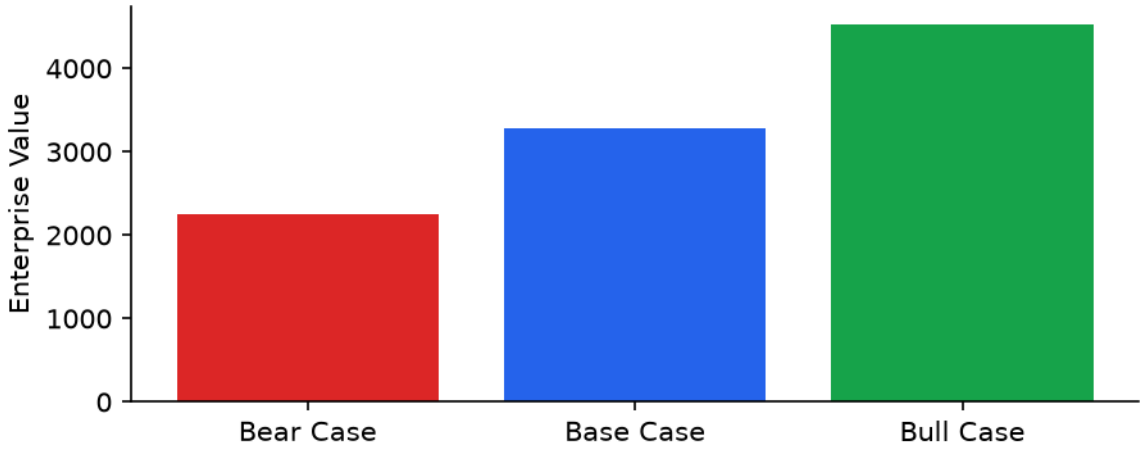
• EBITDA margin expanded from 18.0% in FY2021 to 28.2% in FY2026.

• Average Capex was 5.1% of revenue and average D&A was 4.0% of revenue over the historical period.


Historical
Forecast
Revenue
1500
1000
500
0
FY2021
FY2022
FY2023
FY2024
FY2025
FY2026
FY2027
FY2028
FY2029
FY2030
FY2031

Scenario Analysis

Metric	Bear	Base	Bull
Revenue CAGR	7.1%	9.1%	11.1%
Terminal EBITDA Margin	26.2%	28.2%	30.2%
WACC	11.3%	10.3%	9.8%
Terminal Growth	2.5%	3.0%	3.5%
Enterprise Value	$ 2,254M	$ 3,278M	$ 4,524M
Equity Value	$ 2,869M	$ 3,892M	$ 5,138M



Sensitivity: Enterprise Value (WACC vs. Terminal Growth)

WACC \ g	2.0%	2.5%	3.0%	3.5%	4.0%
8.3%	3,941	4,215	4,541	4,934	5,418
9.3%	3,389	3,584	3,809	4,073	4,387
10.3%	2,970	3,114	3,278	3,465	3,683
11.3%	2,642	2,752	2,875	3,013	3,171
12.3%	2,377	2,463	2,558	2,664	2,783

Ranked Valuation Drivers

Driver	EV Swing %
WACC (+/-1.0pp)	28.5%
Terminal Growth (+/-0.5pp)	10.7%
Terminal EBITDA Margin (+/-1.0pp)	9.1%
Revenue CAGR (+/-1.0pp/yr)	7.0%
Capex % of Revenue (+/-0.5pp)	6.0%

Key Assumptions

Assumption	Period	Value	Source	Rationale
Revenue Growth	FY2027	14.4%	calculated	FY2027 revenue growth is assumed at 14.4%, glided from the recent 14.4% run-rate toward a 4.0% long-term normalized rate over the 5-year forecast horizon (vs. 15.3% historical 5-year CAGR), reflecting expected growth normalization.
Revenue Growth	FY2031	4.0%	calculated	FY2031 revenue growth is assumed at 4.0%, glided from the recent 14.4% run-rate toward a 4.0% long-term normalized rate over the 5-year forecast horizon (vs. 15.3% historical 5-year CAGR), reflecting expected growth normalization.
Capex % of Revenue	FY2027	5.1%	calculated	Capex modeled at the 5.1% historical average of revenue (vs. 4.8% in the most recent year).
NWC % of Revenue	FY2027	10.1%	calculated	Net working capital modeled at the 10.1% historical average of revenue, held constant given no evidence of a structural change in payment terms.
Tax Rate	FY2027	24.0%	calculated	Tax rate held at the 24.0% historical average effective rate.
Risk-Free Rate	-	4.2%	market_data	10-year government bond yield as of the source date.
Beta	-	1.15	market_data	5-year weekly regression beta vs. broad market index (illustrative demo value).
Equity Risk Premium	-	5.5%	market_data	Long-run historical equity risk premium for the company's market.
Pre-Tax Cost of Debt	-	5.8%	market_data	Based on the company's current borrowing rate / comparable credit spread.

Model Quality & Data Notes

100/100 — Model ready for review

This report is generated by an automated DCF modeling tool for research purposes. Every figure above traces back to the assumptions and sources shown in the companion Excel workbook. This is not investment advice.